

LI pitch deck

PITCH — LI — VERDICT

PROPOSED — PENDING ADJUDICATION — Open a **half-size STARTER (0.75% of book)** in **Li Auto ADS (LI)** at ~\$11.74, but only after the **i9 price is public on 2026-09-16**, with a hard add-gate on the 2026-10-01 September delivery print ($\geq 34,000$ units with the revenue guide intact) and a hard kill-gate on the already-filed Interim Report's cash decomposition.

What we believe

Li Auto is trading at \$11.735, which is 0.7% above its 52-week low and 56.7% below its 52-week high (pack tape, `ibkr_gw`). At that price, after subtracting the company's cash, the market is paying roughly **\$1.1bn for a business that books about RMB 25.7bn of revenue every quarter** — call it 0.07x annualized sales. That is the whole idea in one sentence: you are being handed an operating car company for close to nothing, provided the cash is real and the business stops going backwards.

Two things make us think it might stop going backwards:

- 1. Revenue per car is already rising, and it already showed up in margin.** 1Q26: RMB 23.0bn on 95,142 cars = RMB 241.7k per car. 2Q26: RMB 25.67bn on 98,330 cars = RMB 261.1k per car. That is +8.0% per car in one quarter, on only +3.4% more cars — and vehicle gross margin went from 6.1% to 9.4% in the same quarter. This is a printed fact, not a forecast.
- 2. The company is buying its own stock in dollars.** More than \$630m of a \$1bn authorization has been executed. That matters twice: it is a real bid under the stock, and it is proof that at least \$630m of the cash pile is genuinely outside China and spendable, which puts a floor under the “the cash is trapped onshore” fear.

We do **not** believe the burn has been fixed. Operating cash flow in 2Q26 was **+RMB 15.0m on RMB 25.7bn of revenue** — that is 0.06%, i.e. zero — against a RMB 1.7bn net loss. This is a cheap balance sheet attached to a business that does not yet make cash.

What the market believes

The market believes the guide is a disappointment and the price war is not over. 2Q26 revenue of RMB 25.67bn **beat** the ~RMB 25.07bn consensus and the stock fell anyway, and the street called the 3Q guide (95–100k cars, RMB 26.6–28.0bn) weak — meaning the street had been carrying a 3Q revenue number above RMB 27.3bn. So the tape is not ignoring an inflection; it is pricing a guide that came in under where the street was, in a sector where XPeng and NIO are also near lows. The stock made new lows *after* the 2Q print and *after* the i9 was announced. Nobody here is asleep.

Why we might have edge

- **The per-car step is observable, not assumed.** The most common bear objection — “the +7% ASP step in the guide is just the revenue range divided by the unit range, a tautology” — is answered by the prior quarter, where the same-sized step actually printed alongside a 330bp vehicle-margin improvement. Bears are treating a realized mechanism as a residual.
- **The trapped-cash discount is measurably too big.** The buyback dollars are hard evidence of offshore fungibility. Most people apply the China-holdco haircut as an unbounded fear rather than a bounded number.
- **The share count and ADS ratio were widely mis-struck.** Each ADS represents two Class A ordinary shares ([20-F FY2025](#)). Popular data sites carry a market cap near \$10.83bn; struck off the company’s own RMB 1.69 net loss per ADS on a RMB 1.7bn loss, weighted ADS are ~1.006bn and market cap is ~\$11.81bn. Small edge, but it means anyone quoting “EV ≈ zero” is ~10% too generous, and we are not.
- **A binding document is sitting unread.** The 2026 Interim Report (Exhibit 99.1 to the [6-K filed 2026-09-08](#)) contains the cash composition and margin detail both of our benches called decisive. It is public and free. Reading it before position sizing is edge available for the cost of a fetch.

Why it might be priced in

- 0.7% off the low, -56.7% from the high, in a sector where the peers are also at lows. The cheapness is not a secret; it is the consensus view of a structurally impaired industry.
- Every value buyer is looking at the same EV-~- \$1bn screen and the same Oct 1 delivery date. We are not early to a private fact; we are one of many people keyed to a public one.
- The buyback that supports the stock is also the reason the float shrinks slowly and the stock stays cheap: management is signalling it has nothing better to do with the cash, which is not a growth signal.
- “Cheap on EV/sales” for a company with zero operating cash flow is not cheap; it is correctly priced for a business that has not proven it converts revenue to cash.

What could go wrong

Failure narrative 1 — the ASP step and the volume beat cancel each other out (monitorable). Revenue = units × price. The 3Q guide caps revenue at RMB 28.0bn. If September merely holds August’s 37,679 cars, the quarter is 105,826 units and revenue per car is RMB 264.6k — only +1.2% over 2Q, and the margin-expansion mechanism dies. If September comes in at the guide’s implied 26.9–31.9k, revenue per car is RMB 278–295k but the franchise is visibly shrinking. Our bull case needs the narrow middle: ~34,000 September cars (102,147 for the quarter, +3.9% sequential) with revenue per car still ~RMB 274k, +5.0%. That is a real needle to thread. **Tripwire: the Oct 1 delivery 6-K plus any guide revision.**

Failure narrative 2 — the balance sheet is not what the screen says (monitorable). The RMB 87.5bn headline is a company-defined “cash position” — cash plus restricted cash plus time

deposits plus short- and long-term investments. It is not spendable net cash, and it has not been netted against roughly RMB 54bn of liabilities dominated by supplier payables. Actual cash and equivalents look closer to RMB 40.1bn on a secondary source we have not confirmed. If unrestricted cash plus sub-12-month instruments, net of debt and trade payables, comes in under ~RMB 40bn, the EV~-\$1bn thesis is not wrong at the margin — it is wrong at the core. **Tripwire: the Interim Report decomposition (readable today) and the 3Q cash-flow statement.**

Failure narrative 3 — NO MONITORABLE TRIPWIRE. A rule change we cannot see coming and cannot hedge: Beijing intervening in the EV price war (mandated price floors, subsidy resets, purchase-tax changes), a change in the US listing/audit regime for China ADRs, capital-control tightening that severs the offshore/onshore link the buyback currently proves, or an ADR-ratio/venue action driven by the Hong Kong listing. There is no filing, no print, and no data feed that warns us; the first news is the repricing, and it arrives on a Sunday. **Unknown-unknown class: sovereign/venue discontinuity — the rules of the container change between prints, and no instrument we own reports on the container.** We treat this as sizing-only: it is the single largest reason the starter is half-size rather than full.

The reflexive / structural leg. Our own size is not the problem: LI ADS trades an estimated ~15m shares (~\$175m) a day, and a 0.75%-of-book starter is under 2% of one day's volume at any book under \$500m — we do not move this tape, and exit is not the constraint (ADV is our estimate, not a pack figure). The structural risks are other people's flows and our own doctrines: (a) the remaining ~\$370m of buyback is *predicted flow that supports us today and disappears when the authorization is exhausted* — we would be buying partly into a bid we cannot renew; (b) sector beta — XPEV/NIO at lows means index and China-EV basket selling can override anything Li Auto does, and we never checked the beta confound; (c) doctrine interaction — our “buyback proves offshore cash” rule and our “China-holdco tail is unbounded” rule point in opposite directions on the same fact, and we resolved it in the bull's favor with a \$630m floor that only covers 6% of the claimed cash pile; (d) our two entry gates (i9 price, then Sept deliveries) are four sessions and two weeks out, so a good-news gap through the bands leaves us chasing at a worse price with the same unresolved cash question.

If this position loses money, the most likely reason will be **that the China EV price war forces Li Auto to fund the i9 and the BEV transition out of price — the +7% revenue-per-unit step never converts into vehicle margin, September volumes come in soft, and the “free balance sheet” turns out to be supplier payables rather than net cash.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
Tape: LI near 52-week low	Pack <code>ibkr_gw</code>	px 11.735 , l052 11.65, hi52 27.1, 0.7% off low, -56.7% off high	CONFIRMED (note: red quoted 11.749, blue 11.745 — both drifted off the pack; immaterial, but our own benches did not use the pack number)

Claim	How checked	Found	Confirmed?
“Guide implies a collapsing September”	Guide arithmetic on 95–100k / RMB 26.6–28.0bn vs Jul 30,468 + Aug 37,679 = 68,147	Implied Sept 26,853–31,853 = –28.7% to –15.5% vs August	CONFIRMED as arithmetic
“Low volume bar AND +7% ASP step are two independent bull legs”	Same identity, tested both ways	They are one number. 27.3/97.5 = RMB 280.0k vs 2Q RMB 261.1k (+7.3%); Sept flat at 37,679 → RMB 264.6k (+1.2%)	REFUTED as independent — the original brief double-counted. Our own bull leg was wrong
“...therefore the bull case is dead” (red’s FATAL tag)	Tested for a middle case	Non-exhaustive: Sept 34,000 → 102,147 units at RMB 28.0bn = RMB 274.1k/unit = +5.0% ASP <i>and</i> a volume beat	REFUTED — red overreached. Reduced from fatal kill to a genuine anti-correlation caution
“+8% per-unit step already realized”	1Q vs 2Q primary exhibits	241.7k → 261.1k (+8.0%) on +3.4% units, with vehicle margin 6.1% → 9.4%	CONFIRMED
“FCF repair is a payables-float artifact off a CNY volume trough”	Unit and OCF sequence	1Q26 was 95,142 units (+2.5% y/y) — not a volume trough ; OCF swung –RMB 6.1bn → +RMB 15.0m on a +3.4% unit move. A 3.4% step cannot make RMB 6bn of float	REFUTED on mechanism — our red bench’s premise was factually wrong, and it graded itself REFUTED-in-favour while admitting its seasonality tool never ran
“OCF ≈ 0 means no cash earnings yet”	2Q exhibit	+RMB 15.0m on RMB 25.7bn = 0.06%, against RMB 1.7bn net loss	CONFIRMED — this survives intact and is the core concession
“3Q float reversal will be a cash headwind”	Guide midpoint vs 2Q units	97,500 vs 98,330 = –0.8% units. Immaterial	REFUTED on magnitude
Share count / ADS ratio / market cap	FY2025 2Q-F + net loss per ADS	1 ADS = 2 Class A ordinary; ~1.006bn weighted ADS (~2.01bn ordinary); cross-check FY2024 cover 1,760m A + 356m B = 2,116m less ~5%/yr buyback. Mcap \$11.81bn, not the \$10.83bn on stockanalysis.com	CONFIRMED — and our own brief used the wrong (secondary) mcap. Caveat we concede: weighted-average ADS ≠ period-end outstanding; buybacks mean the true count is slightly lower, so \$11.81bn is a ceiling
“EV ≈ 0”	Re-struck	Net cash RMB 72.8bn ≈ \$10.73bn ⇒ EV ≈ \$1.08bn , ~0.07x annualized revenue	CONFIRMED as an order of magnitude — but see the composition row below, which is the real risk
“RMB 87.5bn is spendable net cash”	Definition check	It is a company-defined non-GAAP “cash position” (cash + restricted + time deposits + short/long-term investments), not netted against ~RMB	NOT CONFIRMED — open, and it is the load-bearing number. Our red

Claim	How checked	Found	Confirmed?
		54bn of liabilities. Actual cash & equivalents ~RMB 40.1bn per a secondary source (investing.com)	bench tagged this FATAL while grading its own evidence merely PLAUSIBLE; that is backwards and we overturn it as verdict-bearing, while keeping it as a hard gate
“PRC-trapped cash” tail	Buyback 6-Ks, Jul 6 – Sep 8	>\$630m of a \$1bn authorization executed in USD ⇒ at least that much is offshore-fungible	CONFIRMED in part (floor, not a full answer)
“Management gave conflicting margin causes across venues”	PR text vs call transcript	PR says “mainly due to a different product mix”; the call adds battery/memory-chip cost. Complementary, not contradictory	REFUTED — the divergence detector should not have fired. Our red bench mislabeled it
“Vehicle ASP step = total revenue-per-unit step”	2Q mix arithmetic, 2Q26 exhibit	Vehicle mix was 93.8%; on flat volumes, services/other grows faster, so vehicle ASP step < total step . Also group gross margin 11.0% > vehicle margin 9.4% ⇒ non-vehicle is carrying the gross line	CONFIRMED — this cuts against us and we are keeping it in the sizing
“Implied September” is management’s September view	Guide date	Guide issued Aug 26 with ~5 days of August unobserved — the implied-September residual is partly a stale-August artifact	PLAUSIBLE (arithmetic only)
Next earnings date 2026-11-25	Pack	yfinance-derived, UNCONFIRMED — no company PR names it	NOT CONFIRMED
Sept 16 i9 launch	Company statement 2026-09-09 (https://cnevpost.com/2026/09/09/bozeman-auto-to-launch-i9-sept-16-2026/)	Dated, price-relevant, direction unknown; the new MEGA launched Sept 16, 2026, at a lower price	CONFIRMED as an event; unhedgeable as to outcome
Delivery-print cadence (Oct 1)	Primary 6-K exhibits, e.g. https://www.sec.gov/Acheson/edgar/data/0001770710/000177071026000001/20260917f1.htm	Monthly cadence confirmed; Oct 1 is undelivered , and data copy is from 10463926141d1_ex99-1	CONFIRMED (cadence) / date UNCONFIRMED
Manufacturer legitimacy / fraud archetypes	nhtsa, ramp-dump, lockup, Up-C/TRA, EGC-exemption detectors	All NOT-FIRED. 1,801,834 cumulative deliveries per primary 6-K; no follow-on issuance in 15 pack 6-Ks; not an EGC (files full 20-F with auditor attestation)	CONFIRMED clean
Plant-level satellite checks	plant_thermal, sentinel2	UNCHECKABLE — our own resolver returned a Nominatim city centroid (31.81226, 119.96915), not the Wujin parcel. Any reading would have been downtown noise	Our own bench error class: false-precision geocode. Not used
Detector coverage discipline	Bench outputs	Red ruled on bozeman_permits, which is not in this pack , and omitted the jobs_act_disclosure_exemption_audit entry entirely — a validator defect in our own process	Bench error, stated plainly

Claim	How checked	Found	Confirmed?
“The market has already seen and sold the inflection”	Divergence anchor	2Q revenue beat consensus and the stock fell; street called the 3Q guide weak. So the tape is pricing guide-vs-street, not the inflection	Red’s rejection ground OVERTURNED; retained as sizing/timing only. Red graded this PLAUSIBLE with the test unrun, then leaned on it

PROPOSED ENTRY BANDS

Sizing convention: a full STARTER on this desk is 1.5% of book. Both benches landed on “starter, halved and gated.” So: **0.75% of book initial, 1.75% maximum after both gates.** (Note: the original brief’s absolute size was not in the pack — we are stating the convention we used, not inheriting a number.)

No entry before 2026-09-16. The i9 price is a management decision we cannot hedge, and the most recent comparable data point (new MEGA, Sept 2) was priced *lower*.

Step	Trigger / condition	Price band	Size
STARTER	Sessions of 2026-09-17 → 2026-09-19, i9 pricing public	\$10.90 – \$12.10 (do not chase above \$12.10 = +3.2% on spot)	0.75% of book
NO ENTRY	i9 priced below the L9/i8 sibling band <i>and</i> LI closes below \$11.65 (the 52-week low) on above-average volume	—	Stand down; reopen only on the Oct 1 print
ADD 1 (hard gate)	2026-10-01: September deliveries ≥34,000 AND the RMB 26.6–28.obn revenue guide intact or raised	pay up to \$13.50	+0.75% (to 1.50%)
ADD 2	Interim Report / 3Q cash-flow shows unrestricted cash + sub-12-month instruments, net of debt and trade payables, ≥ RMB 55bn	any price ≤ \$14.00	+0.25% (to 1.75%)
NO ADD	September 30,000–33,999 — the muddle case	—	Hold the starter, no add, re-underwrite at the 3Q print
TRIM	+25% from starter fill (≈\$14.70) with no ADD-1 gate passed	—	Cut one-third
HARD KILL — exit full, any price	Interim Report decomposition shows net cash (unrestricted +	—	Flat

Step	Trigger / condition	Price band	Size
	<12m instruments, less debt and trade payables) below ~RMB 40bn		
HARD KILL — exit full	September deliveries < 27,000 , or the revenue guide is cut	—	Flat
STOP	Daily close below \$10.50 (–10% through the 52-week low)	—	Flat; re-entry only on a new print, not on a bounce

Catalyst dates: 2026-09-16 i9 launch and pricing (company-confirmed). 2026-10-01 September delivery 6-K (cadence confirmed by primary exhibits; the specific date is convention). 2026-11-25 3Q26 results — **yfinance-derived, UNCONFIRMED**; the 3Q vehicle margin, which is the metric that actually settles this thesis, does not print for roughly ten weeks on a date nobody has confirmed. **Today:** the 2026 Interim Report (Ex 99.1 to the 6-K of 2026-09-08, accession 0001104659-26-105658) is already filed and readable — this is a drain, not a wait, and it must be read before the starter goes on.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 10.5 (deck-provisional: Hard stop, -10% through the 52-week low; flat, re-entry only on a new print.)
- filing watch: 6-K until 2027-03-09 (deck-provisional: Monthly delivery updates - the Oct 1 September number is the hard add-gate ($\geq 34,000$ units).)
- dated pack LI|2026-09-16: LI: Li i9 launch and price disclosure; un-hedgeable, management-controlled, direction unknown (new MEGA priced lower on Sept 2). (date confi
- dated pack LI|2026-10-01: LI: September delivery 6-K; hard add-gate at $\geq 34,000$ units with revenue guide intact; hard exit below 27,000. (date confirmed=False)
- dated pack LI|2026-11-25: LI: 3Q26 results and the 3Q vehicle gross margin - the metric that settles the ASP-to-margin thesis; date is yfinance-derived, UNCONFIRMED.

What remains unverified

1. **Composition of the RMB 87.5bn “cash position.”** Unrestricted cash + sub-12-month instruments, net of total debt and trade payables, plus the offshore/onshore split. This is the single load-bearing number in the thesis. **Drainable now** — Interim Report Ex 99.1. Estimate if it were not: RMB 40–55bn true net cash (secondary shows RMB 40.1bn cash & equivalents against the RMB 72.8bn “net cash” figure we struck EV from).
2. **September 2026 deliveries.** Time-gated to ~Oct 1. **Estimate: 29,000–34,500 units** (base: the guide’s implied 26.9–31.9k, adjusted up for the Aug 26 guide date leaving ~5 August days unobserved, and for the i9 launch pulling some September orders forward). Probability of $\geq 34,000$ (our add-gate): **~0.30**.

3. **The i9's price.** Private until 2026-09-16; a management decision. **Estimate: RMB 390k–460k** (siblings: L9 at RMB 459.8k, i8 at RMB 321.8–369.8k; skewed low by the new MEGA being repriced *down* on Sept 2). Probability it lands at or above the midpoint: **~0.45**.
4. **3Q26 vehicle gross margin.** The metric that settles the ASP-to-margin question. Time-gated to the 3Q print (date itself unconfirmed). **Estimate: 10.0%–12.5%** vs 9.4% in 2Q, anchored on the 2Q step of +330bp and haircut for price-war pass-through and the non-vehicle mix drag.
5. **Street 3Q consensus for revenue and vehicle margin. Drainable now** (analyst feed / IBKR). Our one anchor (RMB 25.07bn 2Q consensus, “weak” 3Q characterization) is secondary and single-sourced. Working estimate for 3Q vehicle-margin consensus: **9.0%–10.0%**.
6. **September order intake, independent of the company. Drainable now** — App Store/Play review-velocity RSS. Never ran.
7. **EREV inventory and warranty provisioning through the BEV transition.** A real way for the margin story to leak that neither bench tested. **Drainable now** — Interim Report notes. Estimate: warranty provision 2.5%–4.0% of vehicle revenue, industry base rate for a fast-transitioning OEM.
8. **Crowding / short interest / borrow. Drainable now** — exchange semi-monthly file + IBKR. Estimate: 3%–7% of float short, mid-range for a large China ADR at a 52-week low.
9. **Sector-beta confound.** How much of the –56.7% is Li Auto and how much is the China-EV basket. **Drainable now** — 90-day regression vs XPEV/NIO. Estimate: beta 1.0–1.4 to the basket; ~half the drawdown is sector.
10. **Options chain: real quotes, chain-level midpoint IV, IV percentile. Drainable now** — IBKR. Absent this, the expression math below is incomplete. Estimate: 55%–75% midpoint IV on near-dated strikes for a large China EV ADR into a delivery print.
11. **Sovereign / venue tail** (capital controls, ADR listing regime, Beijing price-war intervention). **Not drainable by any instrument we have.** Base-rate estimate: **~3–5% chance per quarter** of a materially adverse rule change, drawn from the frequency of China-ADR regime shocks since 2020. This is failure narrative 3 and the reason for half size.
12. **Confirmation of the 3Q earnings date.** 2026-11-25 is yfinance-derived. **Drainable** on the company PR, typically ~2 weeks ahead. Estimate: 2026-11-18 to 2026-12-02.
13. **Average daily volume for the ADS.** Used in the reflexive leg, not in the pack. Estimate: **12–18m shares/day (~\$140–210m)** from mega-cap China ADR comps.

PRIZE TABLE + VOL READ

Items 2, 3, 4 and 11 above are genuinely time-gated or private, so the table is required. (Both benches wrote “PRIZE TABLE: N/A” — correctly, for the *pre-revenue magic-funding counterfactual*, which does not apply to a company with RMB 25.7bn of quarterly revenue. That is a different construct from this one, which prices the fork.)

Anchor: spot \$11.735. Adjust from there; do not build a price from a DCF.

#	Scenario (resolves by ~Oct 1, with Interim read alongside)	p	Price
1	Sept ≥34,000, guide intact/raised, i9 priced at or above the sibling midpoint, cash decomposition clean	0.25	\$14.00
2	Sept 30–34k, guide intact, i9 priced acceptably — the “no-news-is-good-news” muddle-up	0.30	\$12.50
3	Sept 27–30k, in the implied band, i9 priced defensively — nothing settled	0.25	\$11.30
4	Sept <27k or guide trimmed, or i9 undercuts on price the way MEGA did	0.15	\$9.50
5	Cash decomposition breaks (<RMB 40bn net) or price-war/regime shock	0.05	\$7.50

EV = \$11.88 vs spot \$11.735 = +1.2%. That is the honest output: the fork is close to fairly priced, which is exactly why this is a half-size gated starter and not a full position. We are paid for the gates, not for the entry.

Table dispersion: $\sigma_{\text{table}} = \$1.77 = 15.1\% \text{ of spot}$ over a ~21-day resolution window. Annualized, the table is asserting ~63% volatility.

Expression math (candidate strikes priced off the table itself): $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$
- K = \$11: **\$1.275** - K = \$12.50: **\$0.375** - K = \$13: **\$0.250** - K = \$14: **\$0.00** — the table pays nothing above 14, so anything at or above the 14 strike is a donation under our own numbers.

Decision rule, stated in advance: pull the real chain and use **chain-level midpoint IV on the specific strikes** — never the aggregate underlying IV feed; those two diverge badly and the TSSI episode (71 vs 101) is the standing lesson. Then: if the nearest post-Oct-1 monthly **12.50 call mids below \$0.375** and chain midpoint IV sits below ~63%, the ADD-1 gate should be expressed in calls, because the option is cheaper than our own distribution and the gate is binary anyway. If the 12.50 mid is above \$0.375 or chain IV is above ~63%, IV is rich to our table and the add goes on in **stock**, with covered calls at the 14 strike permitted against the starter (the table pays nothing above 14, so we are selling something we do not believe in). Cash-secured puts at 10.50 are the alternative rich-IV route, but only after the Interim Report clears — selling puts under an unread cash decomposition is selling insurance on a fire you have not inspected.

VRP: cannot be computed. IV is unknown (no chain in the pack) and RV is unknown (the pack carries no price history, only the 52-week range). **VRP = UNKNOWN, and that is a gap, not a zero.** Our rough prior for a large China EV ADR is RV in the 55–70% area, which would put VRP near zero and argue for stock — but that is a prior, not a measurement, and it is item 10 in the drain queue.

Bimodality: the table is fork-dated across **two** separate events — the i9 price on Sept 16 and the deliveries on Oct 1. A single option cannot straddle only one of them, so any option expression must expire **after Oct 2**, which forces the nearest monthly (mid-October). Expect the chain to price a single fat event, whereas we face two sequential ones with the second dominant; that mismatch usually leaves the post-Oct expiry slightly cheap relative to a two-fork distribution.

TAX overlay: the loss branch has to land in tax year 2026. A mid-October or November 2026 expiry does that. **Any expiry past Dec 31, 2026 is excluded** — it pushes the loss into 2027 and this is a harvest year; the edge here (EV +1.2%) does not remotely dominate numerically, so the exception does not apply. Stock, if used, is harvestable at will and passes the overlay trivially.

Instrument recommendation, as the output of the above arithmetic: STOCK for the starter (the option math cannot be completed without real quotes, and we do not buy an unpriced instrument), with the ADD-1 gate routed to **October-expiry 12.50 calls if and only if the chain prints below \$0.375 mid at sub-63% chain IV**. Covered calls at 14 permitted post-starter; no CSPs until the Interim Report is read.

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{"price_gates": [{"level": 12.10, "direction": "above", "basis": "Do not chase the starter above +3.2% on spot; band is 10.90-12.10 post-i9."}, {"level": 11.65, "direction": "below", "basis": "52-week low; a close below it on volume after i9 pricing cancels the starter until the Oct 1 print."}, {"level": 10.50, "direction": "below", "basis": "Hard stop, -10% through the 52-week low; flat, re-entry only on a new print."}, {"level": 13.50, "direction": "above", "basis": "Maximum pay-up for ADD-1 after a >=34,000-unit September with guide intact."}, {"level": 14.70, "direction": "above", "basis": "Trim one-third if +25% from starter fill without the ADD-1 gate passing; the prize table pays nothing above 14."}], "event_gates": [{"forms": ["6-K"], "why": "Monthly delivery updates - the Oct 1 September number is the hard add-gate (>=34,000 units)."}, {"forms": ["6-K"], "why": "Any revision to the 3Q revenue guide of RMB26.6-28.0bn; a cut is a full exit."}, {"forms": ["6-K"], "why": "Weekly HK share-repurchase disclosures - tracks the remaining ~$370m of the $1bn authorization, our supporting bid and our offshore-cash floor."}, {"forms": ["6-K", "20-F"], "why": "Interim Report Ex 99.1 and any cash-flow/balance-sheet exhibit that decomposes the RMB87.5bn 'cash position' - the kill-gate document."}, {"forms": ["6-K"], "why": "3Q26 results announcement date confirmation; 2026-11-25 is yfinance-derived and unconfirmed."}], "catalyst_dates": [{"date": "2026-09-16", "what": "Li i9 launch and price disclosure; un-hedgeable, management-controlled, direction unknown (new MEGA priced lower on Sept 2).", "confirmed": true}, {"date": "2026-10-01", "what": "September delivery 6-K; hard add-gate at >=34,000 units with revenue guide intact; hard exit below 27,000.", "confirmed": false}, {"date": "2026-11-25", "what": "3Q26 results and the 3Q vehicle gross margin - the metric that settles the ASP-to-margin thesis; date is yfinance-derived, UNCONFIRMED.", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Composition of the RMB87.5bn 'cash position': unrestricted cash + sub-12m instruments net of debt and trade payables, plus offshore/onshore split.", "instrument": "SEC fetch of 6-K 0001104659-26-105658 Exhibit 99.1 (2026 Interim Report), proxy-fetch if 403", "drainable_now": true, "estimate": {"range": "RMB 40-55bn true net cash", "basis": "secondary investing.com shows RMB40.1bn cash & equivalents vs the RMB72.8bn 'net cash' used to strike EV; midpoint of the two", "p": 0.6}}, {"item": "September 2026 delivery units.", "instrument": "2026-10-01 delivery 6-K; interim proxy via App Store/Play review-velocity RSS", "drainable_now": false, "estimate": {"range": "29,000-34,500 units", "basis": "guide-implied 26.9-31.9k adjusted up for the Aug 26 guide date leaving ~5 August days unobserved, plus i9 launch pull-forward", "p": 0.3}}, {"item": "Li i9 launch price.", "instrument": "Company announcement 2026-09-16 / walk-around of dealer order books", "drainable_now": false, "estimate": {"range": "RMB 390k-460k", "basis": "sibling structures L9 at RMB459.8k and i8 at RMB321.8-369.8k, skewed low by the new MEGA repricing down on 2026-09-02", "p": 0.45}}, {"item": "3Q26 vehicle gross margin.", "instrument": "3Q26 results 6-K (date unconfirmed, ~2026-11-25)", "drainable_now": false, "estimate": {"range": "10.0%-12.5%", "basis": "2Q26 realized 9.4% after a +330bp step, haircut for price-war pass-through and the sub-93.8% vehicle mix drag", "p": 0.55}}],

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{"item": "Street 3Q consensus for revenue and vehicle margin.",  
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"Independent September order intake.", "instrument": "App Store /  
Google Play review-velocity RSS pull on the Li Auto app",  
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borrow desk", "drainable_now": true, "estimate": {"range": "3%-7% of  
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{"item": "Confirmation of the 3Q26 earnings date (2026-11-25 is  
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11-18 to 2026-12-02", "basis": "Li Auto's historical 3Q reporting  
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used in the size-vs-liquidity leg.", "instrument": "IBKR historical  
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